



Market Briefs Pro

Read less news

Good morning, Pro Briefers!

Driven by uncertainty, U.S. investors are putting more money into foreign markets than ever before.

- The Bureau of Economic Analysis reported Americans invested hundreds of billions of dollars in foreign companies in Q1 of 2025, an all-time high.

This is where we've identified a Broad Market Shift: U.S. investors are increasingly looking to foreign markets for stability and long-term growth.



To investigate this trend, we broke our analysts into two teams.

One team investigated foreign companies that trade in the U.S.

The other team traveled the globe, speaking to investors and business leaders across the E.U. and Nordic countries.

They learned the latest insights into how their economies are growing and how they think the global economic balance is shifting.

In this special two-part report, we're going to dive into the global shift away from American markets and a few ways that investors can approach the global market.

This week, we'll be diving into some of the largest and highest-performing companies across Europe.

Next week, we'll be doing the same for Asia-Pacific.

But first, let's take a look at why investors are moving away from the American economy.

Have some feedback? Let us know your thoughts on this Shift by responding directly to this email!

GLOBAL ECONOMY

The Balance of Power

Now you may be saying, "Isn't the U.S. economy bouncing back?"

It's true recent gains have (nearly) erased the losses that followed the tariff announcement on April 2nd, 2025, and the markets are coming off a several-year high.



Data [via](#) Yahoo! Finance

- The S&P 500 saw two consecutive years of 20%+ growth (2023 and 2024), the largest stint of consecutive growth in more than 30 years.

But recent events have shaken investor confidence in U.S. markets. The U.S.'s ever-changing tariff policy has made it difficult to predict how the market will react in the long term and has caused large swings up and down.

Even with the swing up, the sheer volatility present in the U.S. economy has some investors looking elsewhere.

Currency Considerations: Partly due to this volatility, and partly due to the U.S.'s rising deficit, the dollar has seen significant losses, down 8% against major currencies such as the Euro this year.

- Many economists are now predicting that the U.S. dollar is in danger of losing its status as a global reserve currency.

United States Dollar To Euro

0.8816
(-8.74%)

YTD Year Price →



 **Market Briefs Pro**

Data [via](#) Google Finance

Major financial advisors have also been advocating for increasingly diverse portfolios, with Vanguard now suggesting that investors have up to 40% of their portfolios allocated to foreign equity.

Then there's the foreign markets themselves - In 2025, investors dumped more of their money into foreign stocks.

- More than \$34 billion has been invested into European equity ETFs so far in 2025.
- Around \$8 billion has been invested into U.S. equity ETFs so far in 2025.

Companies that specialize in international investing have invested billions in Asia-Pacific since April 2025, with more than \$2.7 billion going into India.

What does all of this mean? The global balance of economic power is shifting, with the U.S. losing ground.

And all of those dollars looking for stability in other markets? It's causing those markets to exceed growth projections.

This week, we'll be focusing on Europe, and how several of their staple companies have not only weathered recent struggles, but have thrived.

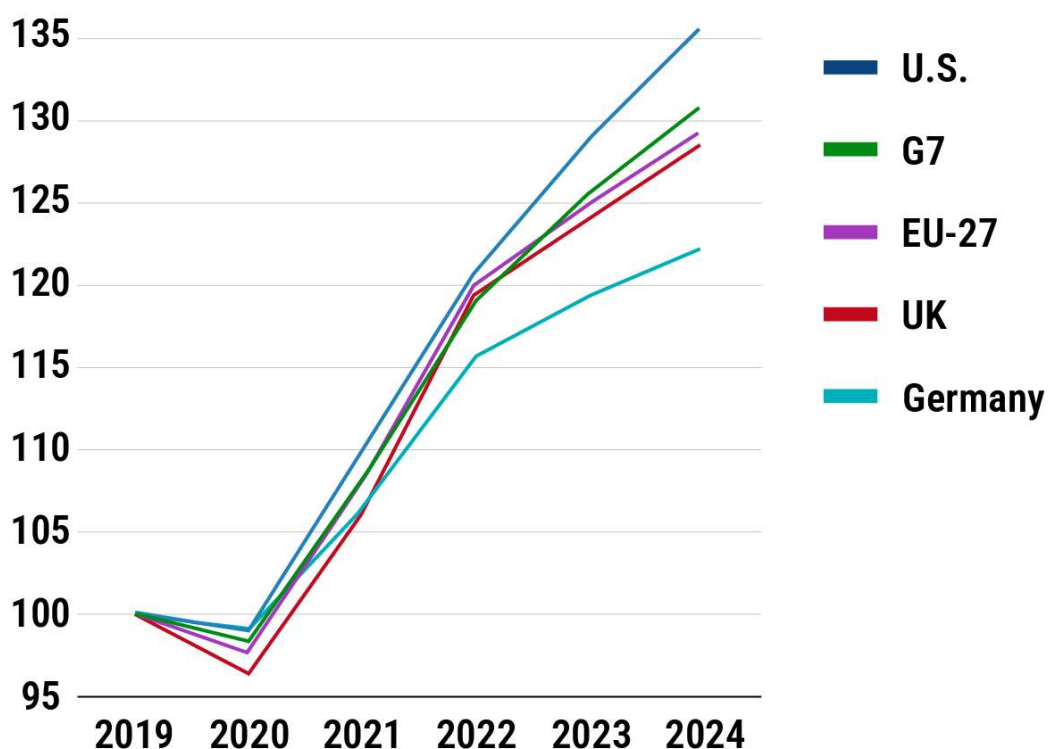
EUROPEAN UNION

Stability in the Eurozone

Going into 2025, Wall Street had all eyes on the E.U., with their major index funds beginning to rebound after years of stagnant growth following the conflict in Ukraine.

And while European indexes have shown solid growth, U.S. policy hasn't occurred in a vacuum, and the initial promise of reciprocal tariffs by the U.S. threw European markets back into turmoil.

Weaker Economic Growth In The EU Than In The U.S. And The Average Of The G7 Countries



Gross domestic product, current prices, purchasing power parity - international dollars, billions. Data as index value (2019 = 100).

- Recent projections by the European Central Bank are forecasting 0.9% GDP growth in the eurozone, lower than the U.S. and G7 countries.

The EU may not have the same growth projections as the U.S., but investors around the world are viewing it as a safer and more stable investment.

This confidence in European markets stems from the resilience being shown by some of their oldest and most well-respected brands.

ITALY

Italian Luxury Races Ahead

Our analysts spoke to Sebastiano Mottura, an Italian wine mogul who has been a strong supporter of the European markets.

Sebastiano described that while Italian luxury brands aren't driving the biggest impact to their economy, it helps cultivate their reputation

"In terms of employment, in terms of the actual domestic economy, I'm not sure luxury is that relevant, but it's definitely good as a reputation. It's good for the country, reputation, and people, keeping that high quality of production."

And it's these high-reputation brands that are speeding ahead of the competition - in particular, Italian automaker Ferarri (RACE) has left other automakers in the dust.

Ferrari has faced a 21% decline in shipments to the major markets of China, Hong Kong, and Taiwan, and has also boosted their average selling price to \$500,000, up from \$324,000 in 2019.

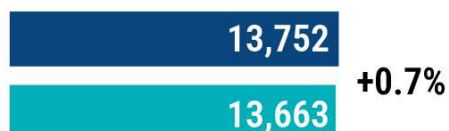
Despite these changes, it saw a 2% increase in deliveries in 2024, and in Q4, it increased profits to €386 million, a 31% increase year-over-year.

Ferrari Investor Presentation

FY'24 FY'23

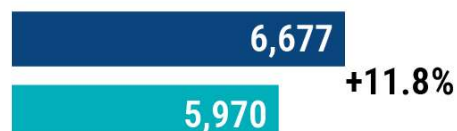
Shipments

(Units)



Net Revenues

(€M)



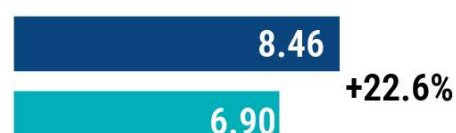
EBIT

(€M And Margin %)



Diluted Earnings Per Share

(€)



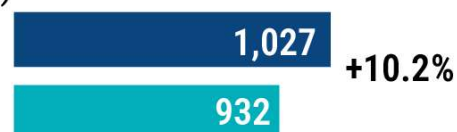
EBITDA

(€M And Margin %)



Industrial Free Cash Flow

(€M)



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Data via Ferrari

And with an industry-leading 28% operating margin, Ferrari is racing ahead of the competition.

Ferrari's strong financials have been causing company stock to pick up speed, growing 12.8% year-to-date and 195% over the last five years.



Data [via](#) Yahoo! Finance

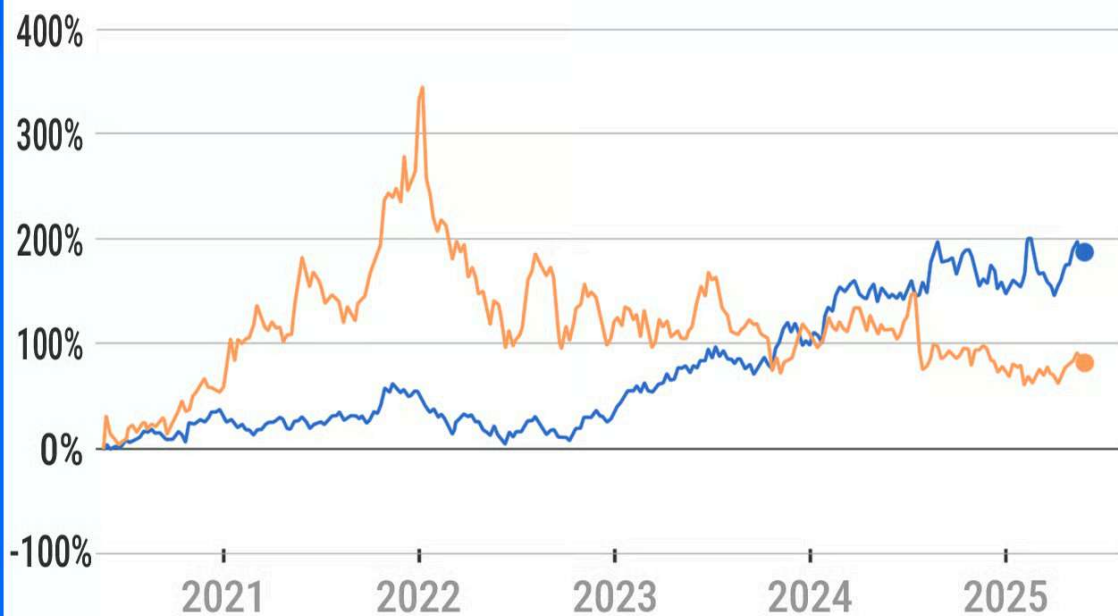
To better understand this growth, let's compare them to a high-performing U.S. automaker.

Ford vs Ferrari: Ford Motor Company (F) is the only one of the “big three” automakers to show positive growth this year, gaining 3.9% year-to-date, and a fairly strong 70.65% over the past five years.

While this is a strong YTD performance for the automotive industry and relatively strong long-term growth, it has been completely outpaced by Ferrari's performance.

Ferrari NV 5-Year Share Price vs. Ford Motor Co

5 Year Price →



— Ferrari NV

\$482.59

+\$313.88

↑186.05%

— Ford Motor Co

\$10.31

+\$4.60

↑80.47%

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Data [via](#) Google Finance

And Ferrari shows no signs of hitting the brakes, with new models set to debut in Q4 and reaffirming its 2025 targets despite global turmoil.

Ferrari is just one of many iconic companies in Italy, but many others such as Enel, Pirelli, and Moncler, aren't directly available through U.S. markets.

But investors can gain exposure to all of these companies (and other iconic Italian brands) through the iShares MSCI Italy ETF (EWI)

- Shares of EWI are up 32% YTD, reflecting the strength of the Italian economy.

iShares MSCI Italy ETF (EWI)

YTD Year Price →

47.61
(+32.30%)



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Data [via](#) Yahoo! Finance

GERMANY

German (Software) Engineering

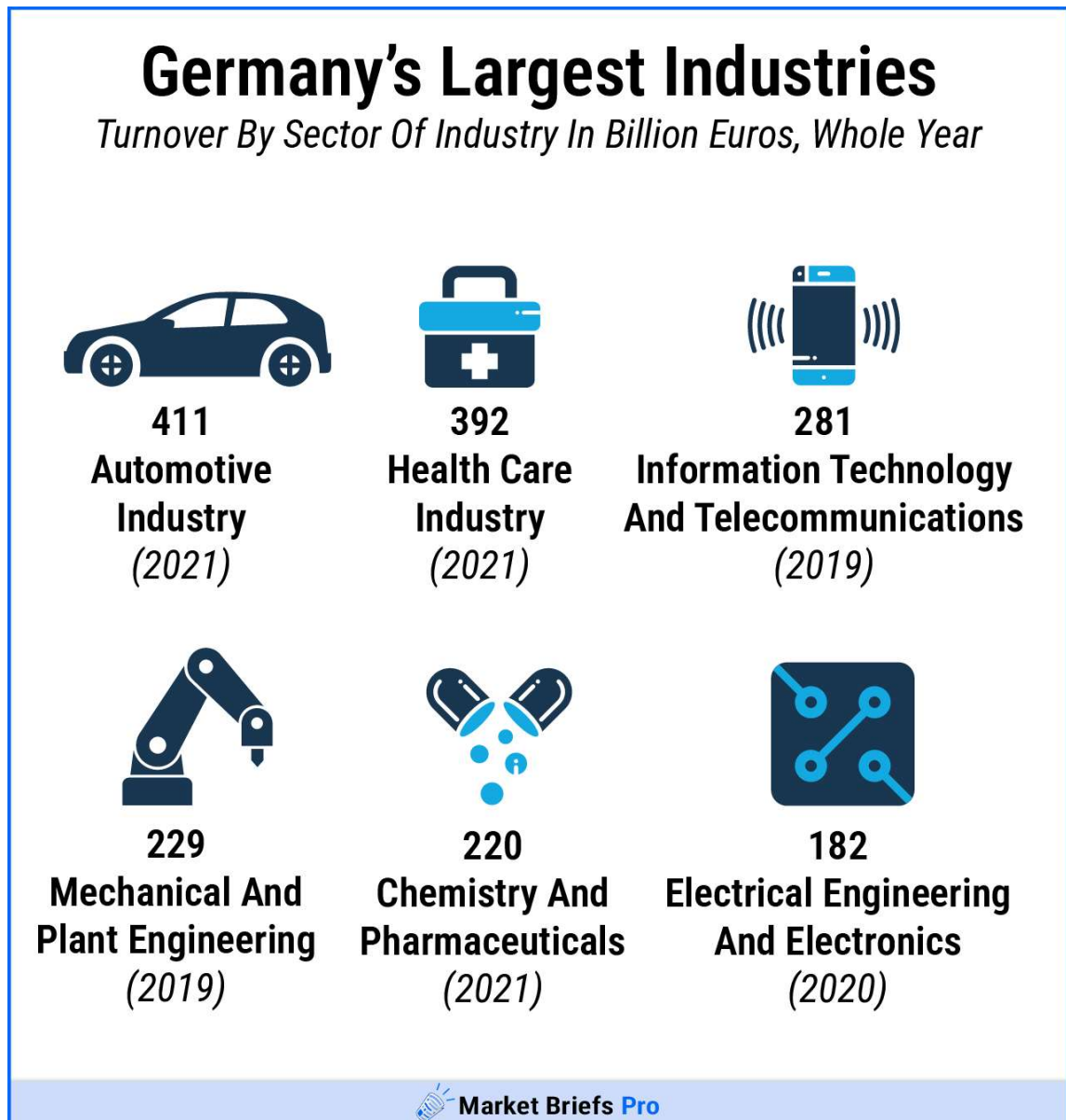
When looking at E.U. markets, Germany has to be in the discussion.

Not only is Germany the largest economy in Europe, but it's the third largest economy in the world, and is often considered to be one of the most stable.

When most people think of the German economy, they probably think of manufacturing, specifically automotive.

While automotive is certainly the largest German industry, European manufacturing as a whole has taken a hit since the start of the conflict in Ukraine.

- Sanctions against Russia have limited Europe's supply of fossil fuels, greatly raising the cost of manufacturing.



Data [via](#) German Government

Even though manufacturing has taken a hit, and Germany is in the midst of a technical recession (two straight quarters of negative growth), its IT industry is booming.

When asking German nationals about what company best represented their market, tech giant SAP (SAP) was one of the first that came to mind.

We spoke to Jonathan Hübner, a French and German citizen working for an ERP company, he credits stricter EU regulation for strong growth in the IT sector:

"Germany especially is very strong for tech and IT. France too, but Germany even more. The difference I see between the U.S. and

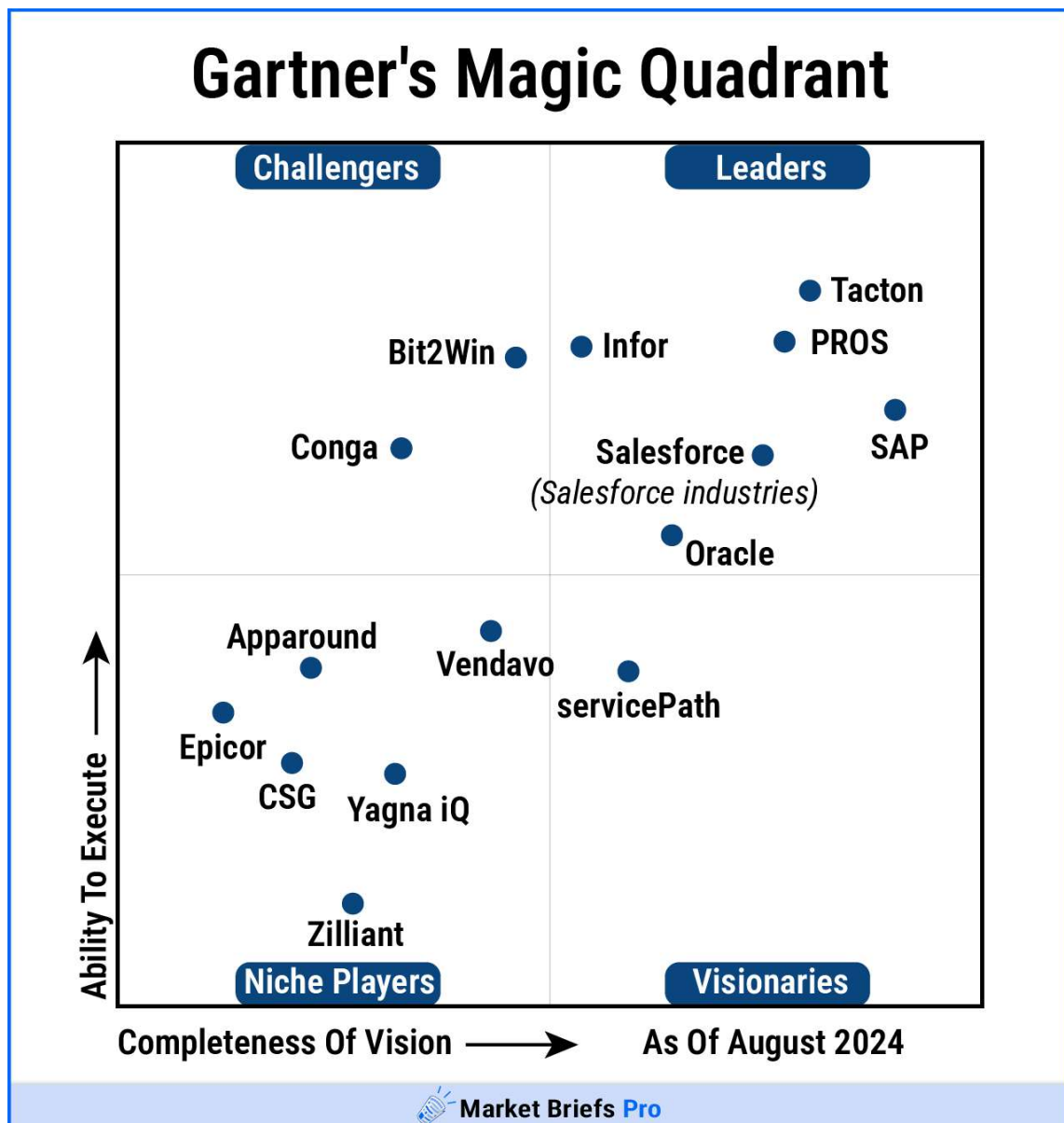
Germany is [that] you have way more regulations in the European market...You have a lot of testing for quality."

SAP has seen rapid growth in the ERP and cloud computing space, with its cloud revenue up 27% YoY in Q1 of 2025, and its Cloud ERP suite up 24% YoY in the same period.

Technology vendors are often evaluated by a metric called Gartner's Magic Quadrant, which evaluates them based on two criteria:

1. Completeness of Vision
2. Ability to Execute

By this metric, SAP is consistently recognized as a "leader" in ERP services.



Data via Gartner

- Gartner has consistently ranked SAP ahead of its direct competitors, Salesforce (CRM) and Oracle (ORCL).

SAP's share price has reflected its strength as a European staple company, up more than 21% YTD and 56% YoY.

It's also been outpacing all of its major competitors:



Data via Google Finance

- Oracle is largely considered to be SAP's most direct competitor and is up 29.9% over the past year.
- Other major competitors include Salesforce, which is up 2.4%, and Workday (WDAY), which is up 11.7% YoY.
- All of SAP's major competitors are American companies.

SAP has also shown the ability to weather uncertain economic conditions. When looking at YTD, it is the only company amongst its competitors to show growth.

It's also outpacing the rest of the German market, with German auto giant Volkswagen down more than 20% YoY.



Data [via](#) Yahoo! Finance

SAP isn't Germany's only major non-manufacturer. Companies like Siemens, Allianz, and BASF are finding stability during this lull in manufacturing.

Investors looking for broad exposure to these companies (and SAP) can find them in the iShares MSCI Germany ETF (EWG).

- Up 31% YTD, EWG holds exposure to many of Germany's large-cap companies, which include tech, finance, and manufacturing.

iShares MSCI Germany ETF (EWG)

YTD Year Price →

41.71
(+31.08%)



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Data [via](#) Yahoo! Finance

SPAIN

Spain Goes Global

Italian luxury and German ingenuity might seem like obvious choices when looking at European giants, but one country has been silently growing into an economic powerhouse:

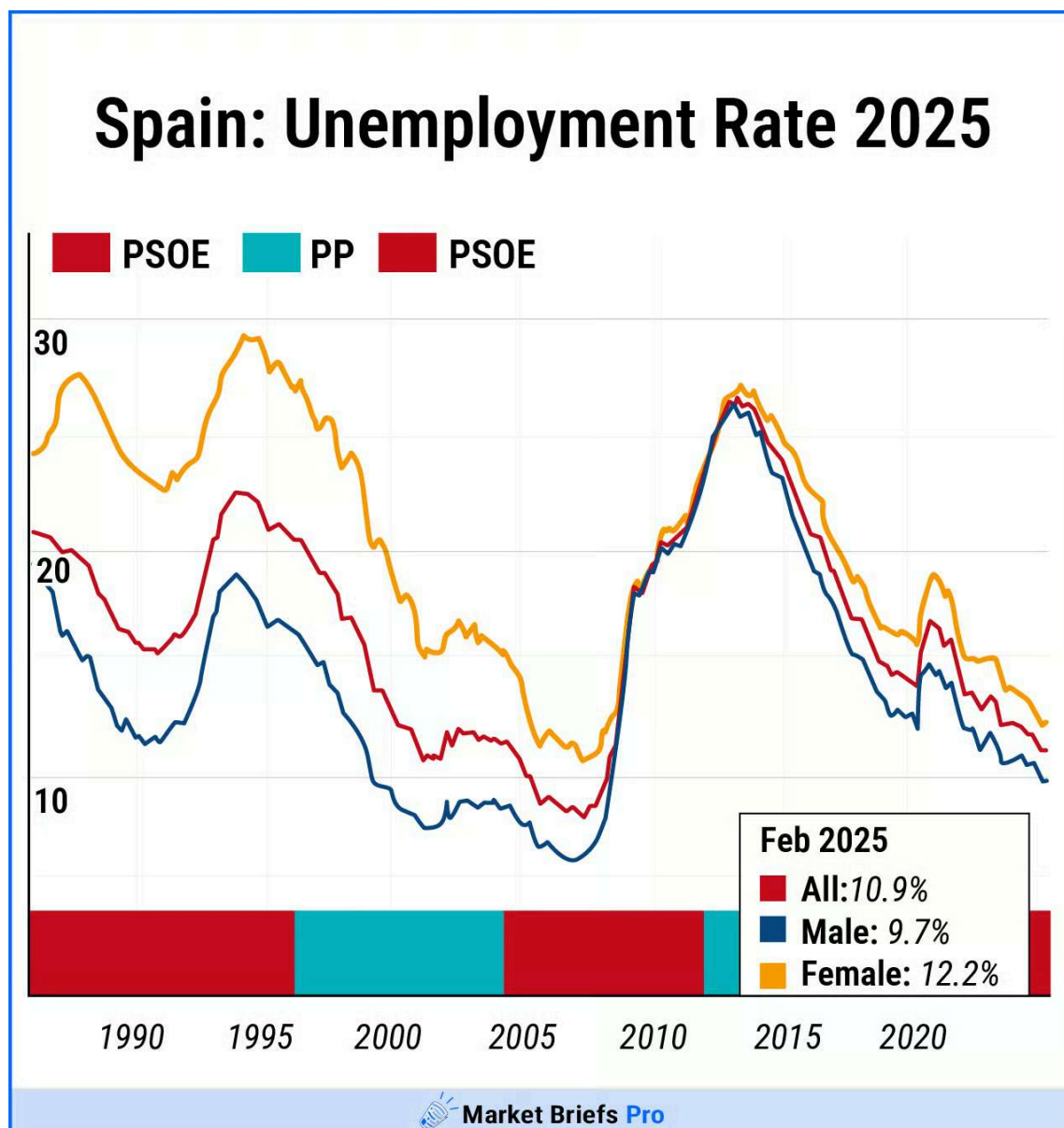
Spain.

The 4th largest economy in the Eurozone with a GDP of \$1.4 trillion, Spain has often been associated with high unemployment and high inflation.

But Spain has been steadily overcoming its major issues.

We spoke to a Spanish national from a rural area in Northern Spain, they told us about the palpable transformation, even in rural areas:

"There's historically a lack of employment here, and yet, it seems now everyone has a job...this place is better, job wise, than it was just 6 years ago."



Data via Macrotrends

- Spain has cut its unemployment rate from 26% in 2013, down to 10% in 2025.

While its GDP isn't growing as fast as other European countries, the consistent progress on its big issues has benefited a few major sectors in the Spanish economy.

Most notably, Spanish banks have seen a significant boost.

Our contact described the rise of banking in Spain:

"Spanish banks have been growing for about a decade and a half, since the 'rescue' with public money after the 2008 crisis. They've been buying and absorbing each other, and growing."

Spain's largest bank, Banco Santander (SAN) has built momentum alongside Spain's economy and has become a global powerhouse.

In its latest report, Banco Santander showed strong growth for the first quarter of 2025:

- Net profits are up 19% YoY.
- EPS is up 26% YoY.
- It added 9 million customers in Q1, bringing the global total to 175 million.

And much of this growth represents Banco Santander's expansion onto the global stage.

- Net profits in the U.S. grew by 49% YoY.
- Net Profits in Brazil grew by 27% YoY.
- The bank opened its first physical branch in the United States.

Banco Santander is a relatively new bank, founded in 2017, but this recent growth has propelled share prices.

Banco Santander, S.A. (SAN)

YTD Year Price →

7.93
(+74.45%)



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Data [via](#) Yahoo! Finance

- Up more than 74% YTD, Banco Santander is outpacing major banks and index funds around the world.
- Growing to 118 billion, this young bank has become the 149th largest company in the world by market cap.

This recent growth is just the latest in a longer trend for the bank, which is up 236% in the last five years, and is continuing to prove itself as a major player in global banking.

Spain has seen other companies in major industries grow as it's economy stabilizes. Sectors like Utilities, Industrials, and even Real Estate have seen significant growth as well.

Banco Santander and some of Spain's other hidden gems can be found in the iShares MSCI Spain ETF (EWP).

- Riding the wave of this growth, EWP is one of iShares strongest-performing European ETFs, up more than 38% YTD.



Data [via](#) Yahoo! Finance

RISKS

The Risk Is...America

While trading in foreign markets is becoming more common as a way to fortify an investor's portfolio against uncertainty in the U.S., these markets are...*often dictated by the U.S.*

U.S. tariff policy caused a global market sell-off, greatly affecting markets in Europe, which has seen GDP projections slip as the result of American policy

The stocks we've discussed are also still being traded in U.S. markets, using the U.S. dollar.

So while their performance is somewhat insulated from events in the U.S., it's still subject to a weakening dollar and the sentiment of U.S. investors.

There's also a greater degree of separation between U.S. investors and the latest news regarding these companies.

While foreign companies trading on U.S. exchanges still have to file with the SEC, it can be hard to find sources on market conditions and information about the latest developments.

REVIEW

Europe and Beyond

Even if U.S. markets continue to rally, global confidence has been shaken. Investors both at home and abroad no longer view the U.S. economy as the giant it once was.

Many countries are also seeking to reduce their dependence on the U.S., and the dollar continues to struggle on the global stage.

It seems unlikely that the U.S. will regain the economic status it held in the past, and investors would be wise to shift their portfolios to better reflect the changing global economy.

The European markets are continuously being viewed as the safer and more stable economy for long-term investments.

But what about high growth? Investors looking for a little more risk for a higher potential payoff are looking to the Asia-Pacific region.

And next week, we'll be diving into highlights from the Asia-Pacific market, which includes some of the hottest growth regions like India and even China.

So keep an eye on your inbox for Part 2 of this special report.



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